Guide 6: The Complete Zakat Planning Guide

Good Measure Giving

June 7, 2026

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Proposed for goodmeasuregiving.org/guides/complete-zakat-planning-guide — held unpublished pending this review.

Reading time: 10 min · **Drafted:** 2026-06-06

TL;DR (shown at top of page)

> Most zakat stress comes from doing everything in one panicked Ramadan evening. The fix is a system: fix your personal zakat anniversary and write it down, inventory your zakatable assets class by class, subtract short-term debts, apply 2.5% if you're above nisab, decide where it goes before it's due, and keep a one-page record so next year takes twenty minutes. This guide walks each step.

Step 1 — Fix your zakat anniversary

Your zakat year is personal: it begins the day your wealth first crossed nisab and renews every lunar year on that date. Almost nobody knows their original crossing date, and the scholars' practical remedy is to pick a date, fix it, and be consistent — estimating your first crossing honestly if you can, or choosing a memorable Hijri date going forward if you can't.

Many people choose a date in Ramadan, both for the multiplied reward of giving in that month and because they'll never forget it. That's permissible and widespread — with one caution: if your honest crossing date was earlier, you shouldn't delay a due zakat payment just to reach Ramadan. Move the anniversary earlier, or pay on time this year and align from next year.

Whatever you choose, write it down — in your Good Measure Giving profile, your calendar, anywhere durable. A fixed anniversary is the difference between a system and an annual scramble. Note it as a Hijri date: the lunar year is about 11 days shorter, so a fixed Gregorian date slowly drifts — over about 33 years it silently skips an entire year's zakat.

Step 2 — Inventory your zakatable assets

On (or near) your anniversary, total each zakatable asset class as of that date. Cash and bank balances, including savings earmarked for future plans. Gold and silver at current spot value. Stocks and funds — full market value if you trade, the zakatable portion if you hold long-term.

Retirement accounts, per the position you follow on locked funds. Crypto at market price. Business inventory, cash, and collectible receivables. Saved net rental income, and any property held for resale at market value.

Each of those classes has its own rules and disputes — jewelry, vesting, trading intent — and our zakat calculator covers them asset by asset with the fiqh notes attached. Work through the ones that apply to you and total the results.

Leave out what doesn't count: your home, vehicles, furniture, and the equipment of your trade are not zakatable and don't count toward nisab either.

Step 3 — Subtract what you owe

Short-term liabilities reduce your zakatable base: credit card balances, bills due, personal loans, and the portion of any long-term debt due within the coming year. A mortgage with twenty years remaining doesn't wipe out your zakat — only this year's obligations do, under the majority view.

Be honest in both directions. Inflating liabilities to dodge zakat defeats the point of a purification; ignoring real debts overstates what you owe. The number you want is your genuine surplus on the anniversary date.

Step 4 — Calculate

Net zakatable wealth = zakatable assets minus short-term liabilities. If that figure is at or above nisab — pegged to 85 grams of gold, displayed live in our calculator — zakat is 2.5% of the whole net amount, not just the portion above the threshold. Below nisab, nothing is owed.

Sanity-check the result against last year. Zakat scales with wealth, so a result wildly out of line with your financial year usually means a missed asset class or a double-counted account. This is also where a saved record from last year pays for itself.

Step 5 — Plan the distribution

Decide where the money goes before it's due, with the same care you'd give any significant financial decision. Three questions structure it: How much goes to people you know directly — the eligible relative, the neighbor, the family your community quietly supports? How much goes through institutions, and which ones? And does your split match what you believe is most urgent this year?

For the institutional share, our list of top zakat-accepting charities is a vetted starting point, our evaluation guide is the method behind it, and every charity page shows whether the organization publicly claims to accept zakat. Confirm the charity's current zakat policy on its own site before sending — policies change, and the obligation is yours, not theirs.

Splitting among several recipients is broadly permitted; many scholars favor giving each enough to matter. And zakat given directly to an eligible person — discreetly, with no organization in between — is not a lesser form of the worship; for relatives in hardship it can be the most rewarded form, though scholars agree zakat cannot go to your own parents or children, and a husband cannot give it to his wife; a wife giving to an eligible husband is a point of difference — ask your scholar.

Step 6 — Build the system that survives next year

Keep a one-page record: anniversary date, asset totals by class, liabilities, nisab on the day, amount due, and where it went. Next year is then an update, not an excavation — and if a question about a past year ever arises, you have the answer.

If a once-a-year lump sum strains your cash flow, set aside an estimated monthly amount — 2.5% of your expected zakatable wealth, divided by twelve — and reconcile on your anniversary. Many scholars also permit paying zakat in advance of the due date once you're confident it will be owed; the anniversary then becomes a settling-up rather than a deadline.

Finally, put the date and the estimate into your Good Measure Giving profile's zakat target. The point of all this structure is modest: that the obligation gets paid in full, on time, to people it was meant for — every single year.

Callout boxes (highlighted on page)

Estimate, then verify — Our zakat estimator and per-asset calculators automate the arithmetic in steps 2–4, including a live gold-based nisab. They are calculation tools, not rulings — where your situation touches a scholarly dispute (retirement accounts, long-term stocks, jewelry), the calculators flag it and your scholar resolves it.

Frequently Asked Questions

Q: I've never paid zakat and I think I've owed it for years. Where do I start?

Estimate honestly: reconstruct roughly what your zakatable wealth was in past years, calculate 2.5% for each year you were above nisab, and pay it down — at once if you can, on a schedule if you can't. Scholars treat missed zakat as a debt that doesn't expire. Start the system this year so it never recurs, and ask your scholar about hard-to-reconstruct years.

Q: Can I pay zakat monthly instead of once a year?

Yes, two clean ways: set aside monthly into a dedicated account and distribute on your anniversary, or pay out monthly in advance and reconcile on the anniversary, topping up any shortfall. Advance payment of a zakat you're confident will be due is accepted by most schools.

Q: Should I move my zakat date to Ramadan?

You can — by paying early. If your anniversary falls after Ramadan, paying in Ramadan is simply zakat in advance, which most schools permit (the Maliki school is stricter — ask your scholar if you follow it). What you shouldn't do is delay a zakat already due, waiting for Ramadan; lateness isn't cured by a better month.

Q: Can I give zakat to my relatives?

To many of them, yes — and with extra reward, since it's both zakat and upholding family ties. The exceptions are those you're already obligated to support: parents, grandparents, and children. A husband cannot give zakat to his wife (her support is already his duty); whether a wife may give to an eligible husband is disputed — the majority permit it, the Hanafi school does not. An eligible sibling, cousin, aunt, or uncle can receive your zakat.

Q: Do I pay zakat on my children's savings?

Wealth is assessed per owner. The Hanafi school does not levy zakat on a minor child's wealth; the majority schools do, with the guardian paying from the child's assets. If your children hold significant savings or gold in their own right, this is a genuine madhab difference to ask your scholar about.

Q: What if I can't pay the full amount when it's due?

The obligation remains as a debt until discharged — pay what you can immediately and schedule the rest seriously. Next year, the monthly set-aside approach in step 6 prevents the squeeze from recurring.

Sources & further reading (as shown on page)

Preceded on the page by: "This guide presents broadly held positions in Sunni fiqh and names the schools where they differ. The references below are where we drew them from. None of this is a fatwa."

- **Can Zakat Payment Be Delayed or Advanced?**, Zakat Foundation of America — https://www.zakat.org/can-zakat-payment-be-delayed-or-advancedSMARTPANTS_PRESERVED_118 Shafi'i, Hanafi, and Hanbali schools sanction advance payment; the Maliki school restricts it.

- **A wife giving zakat to her husband (Fatwa 43207)**, IslamQA.info — https://islamqa.info/en/answers/43207SMARTPANTS_PRESERVED_126 Husband-to-wife prohibited by agreement; wife-to-husband permitted by the majority, per the hadith of Zaynab (al-Bukhari).

- **Zakat on the Wealth of Minors and the Insane**, Masarat Initiative — https://masarat-sy.org/en/zakat-on-the-wealth-of-minors-and-the-insane/SMARTPANTS_PRESERVED_134 The majority levy zakat on a minor's wealth; the Hanafi school does not.

- **Which debts can be deducted from my Zakat calculation?**, National Zakat Foundation (UK) — https://nzf.org.uk/knowledge/which-debts-can-be-deducted-from-my-zakat-calculation/SMARTPANTS_PRESERVED_142 Institutional practice on short-term versus long-term liabilities.

- **Fiqh al-Zakah, Volume II**, Yusuf al-Qaradawi (trans. Monzer Kahf) — https://www.iiibf.org/books/english/fiqhalzakah_vol2.pdfSMARTPANTS_PRESERVED_150 Comprehensive reference for the calculation and distribution rules this system implements.